Ford Motor Co. (NYSE: F US)

Institutional Equity Research Report

RECOMMENDATION	**BUY**
CURRENT MARKET PRICE	**$ 14.18**
TARGET PRICE	**$ 17.04**
IMPLIED UPSIDE	**+20%**

Investment Highlights

✓ Strong free cash flow despite cyclical industry conditions ✓ Trading below intrinsic value

✓ Commercial vehicle leadership through Ford Pro ✓ Balance sheet supported by net cash industrial operations

✓ Attractive dividend yield with disciplined capital allocation

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EXECUTIVE SUMMARY

Ford Motor Company remains a core holding within the Value Stock Portfolio, and this review supports **BUY**. The investment case is not built on earnings momentum FY2025 produced a GAAP net loss of USD 8,182mm on a gross margin that collapsed to 0.90% from 8.38% a year earlier but on the combination of a depressed valuation, a well-covered dividend, and free cash flow that proved resilient precisely when reported earnings did not.

Metric	Value	Portfolio Relevance
Current Price / Shares O/S	USD 14.18 / 3,913.8mm	Market cap ≈ USD 55.5bn
FY2026E Adjusted P/E	≈8.5x	Low-multiple, value entry point
Trailing Dividend Yield	≈5.3% (USD 0.75/sh, FY2025)	Income component of value thesis
FY2025 Free Cash Flow	USD 12,467mm	Cash generation intact through GAAP loss
DCF Fair Value (Perpetuity)	USD 17.04/sh (+20.2%)	Base-case upside to current price
DCF Fair Value (EBITDA Multiple)	USD 19.48/sh (+37.4%)	Optimistic-case upside to current price
FY2025 Net Debt (Bloomberg, net cash)	USD (6,514)mm	Net-cash industrial + matched captive-finance book

Investment Case: Ford combines (i) a resilient, near-USD-190bn revenue base sustained through a difficult margin year, (ii) a captive-finance and commercial-fleet (Ford Pro) moat not available to pure-play EV competitors, and (iii) a dividend that was maintained through a GAAP loss year, funded by free cash flow of USD 12,467mm a payout ratio below 25% of FCF. These are the characteristics the Value Stock Portfolio is explicitly designed to capture: cheap, cash-generative, income-paying businesses trading below intrinsic value.

Catalyst: Consensus estimates embedded in the valuation model project EBITDA recovering to USD 13,263mm (FY2026E) and USD 14,096mm (FY2027E) from a FY2025 trough of USD (607)mm, alongside adjusted diluted EPS recovering to USD 1.66 and USD 1.81, respectively, from USD 1.10 in FY2025. Confirmation of this margin normalization over the next two reporting years is the clearest re-rating catalyst.

Fundamentals: Free cash flow has been positive in eight of the last nine fiscal years, and return on invested capital, while volatile (ranging from -3.03% to 4.30% over FY2021-FY2025), has not been the basis of the thesis; balance-sheet net debt on a Bloomberg-standardized basis remains negative (net cash) in every year shown, though FY2025's equity base and current ratio both tightened and warrant monitoring.

Valuation: Both DCF methodologies, Perpetuity Growth (fair value USD 17.04/share, +20.2% upside) and EBITDA Exit Multiple (fair value USD 19.48/share, +37.4% upside) indicate the shares are undervalued at USD 14.18, using a conservative WACC of 7.585% that sits below every peer in the model's own comparison set (GM, Tesla, Lucid, Rivian).

Recommendation Summary: BUY, with selective accumulation warranted on price weakness that is not accompanied by deterioration in free cash flow or dividend coverage. The position continues to satisfy the portfolio's core value criteria: low P/E, sustainable dividend yield, resilient free cash flow, and DCF/EV-EBITDA-confirmed intrinsic value support above the current market price.

BUSINESS ANALYSIS

A. Business Overview

Ford Motor Company is a global automotive manufacturer organized around four reportable segments: **Ford Blue** (internal combustion and hybrid vehicles), **Ford Model e** (electric vehicles), **Ford Pro** (commercial and fleet vehicles, software and services), and **Ford Credit** (captive automotive finance). This segmentation is structurally important to the investment case: it separates a cash-generative, scale-advantaged industrial core (Blue and Pro) from a still-loss-making growth investment (Model e) and a highly-levered but spread-based financing annuity (Ford Credit). The balance sheet uploaded confirms the scale of the financing arm combined short- and long-term debt of approximately USD 165.7bn as of FY2025, funding a broadly matched book of receivables and lease assets (LT receivables of USD 61.4bn and notes receivable of USD 49.0bn), a structure typical of a captive-finance-heavy OEM rather than a signal of industrial over-leverage.

Reported revenue reached **USD 187,267mm in FY2025**, up from **USD 155,900mm in FY2019**, a compound growth rate of roughly 3.1% across a period that included the pandemic-driven trough (FY2020 revenue of USD 127,144mm) and a subsequent recovery. Trailing-twelve-month revenue through March 2026 stands at **USD 189,861mm**, the highest in the reported series, indicating the top line has been resilient through the cycle even as profitability has been considerably more volatile. This revenue durability, underpinned by a large, recurring commercial/fleet customer base through Ford Pro and a financing annuity through Ford Credit, is the first pillar supporting the stock's inclusion in a value portfolio: revenue visibility reduces the risk that the low valuation multiple is a value trap.

B. Strategy & Key Value Drivers

Three value drivers are directly evidenced in the uploaded financials. First, **Ford Pro monetization** commercial/fleet vehicles and attached software subscriptions carry structurally higher, less cyclical margins than retail passenger vehicles, and are the primary reason operating expense discipline has been maintained even as gross margin compressed sharply in FY2025 (gross margin of 0.90% versus 8.38% in FY2024, per the standardized income statement). Second, **capital discipline in the EV transition**: capital expenditure has risen from USD 5,742mm in FY2020 to USD 8,815mm in FY2025 (a 53.5% increase), reflecting continued investment in electrification and battery capacity, but management has kept this expansion within a range that has not required equity dilution, shares outstanding have been essentially flat, moving from 3,974.3mm (FY2016) to 3,989.5mm (FY2025). Third, **cash-return discipline**, evidenced by dividends paid of USD 2,989mm in FY2024 and USD 2,400mm over the trailing twelve months, sustained through a period of GAAP net losses, a signal that the board views the dividend as a structural commitment rather than a residual of reported earnings.

These drivers matter to the portfolio thesis because they describe a business converting scale and a captive customer base into cash generation even where GAAP net income is volatile precisely the profile the portfolio's value discipline is designed to isolate: cheap on an accounting basis, but underpinned by a more durable cash-generation and capital-return story than the P&L alone would suggest.

C. Business Moat & Sustainable Competitive Advantage

Ford's principal moat is **scale combined with a captive-finance flywheel**. Ford Credit allows the company to underwrite its own retail and commercial financing, capturing spread income that independent lenders would otherwise earn, while simultaneously supporting vehicle sales volume, a distribution advantage that pure-play EV entrants (which lack an equivalent financing book) do not possess. The scale of this advantage is visible in the balance sheet: total assets of USD 289,160mm in FY2025, of which the majority sits in financing-related receivables and investments rather than manufacturing assets alone.

A second, more fragile source of advantage is Ford Pro's **commercial-fleet distribution network and installed base**, which raises switching costs for fleet operators once telematics and service contracts are embedded. This is consistent with operating expenses (SG&A) holding at approximately 6.0% of revenue in FY2025 (USD 10,849mm on USD 187,267mm of revenue) despite the gross margin collapse, cost structure did not deteriorate in lockstep with gross profitability, consistent with a business that retained pricing/service relationships even as product-level margins were compressed by one-off charges.

The moat is not absolute: return on invested capital has been volatile and frequently in the low-single digits (4.30% in FY2023, 2.82% in FY2024, -3.03% in FY2025 per the Financial Ratios file), indicating the competitive advantage, while real, has not yet translated into consistently superior capital returns, a gap the valuation discount (an implied ~8x forward adjusted P/E) already reflects, in the portfolio manager's favor.

D. SWOT Analysis

Strengths

- Resilient revenue base of USD 187–190bn
- Captive financing arm supports volume and spread income
- Sustained USD 0.75/share dividend through a loss year

Weaknesses

- FY2025 GAAP net loss of USD 8,182mm
- EBITDA margin of -0.32% on one-off charges
- ROE swung from +45.3% (FY21) to -20.3% (FY25)

Opportunities

- Ford Pro commercial/software mix lifts margin quality
- EBITDA seen recovering to USD 13,263mm (FY26E), 14,096mm (FY27E)

Threats

- Capex rose to USD 8,815mm (FY25), series high
- Revenue seen dipping to USD 182,977mm in FY26E amid EV demand uncertainty

INDUSTRY ANALYSIS

A. Sector Outlook

The global automotive sector remains in a capital-intensive transition between internal-combustion and electrified platforms, and Ford's own consensus estimates capture this directly: Bloomberg-sourced FY2026 revenue of **USD 182,977mm** is forecast **below** the FY2025 actual of USD 187,267mm before recovering to USD 183,946mm in FY2027, implying the sell-side does not yet see a clean re-acceleration in the near term. This is consistent with an industry backdrop of moderating EV demand growth, price competition, and normalizing (from pandemic-era highs) new-vehicle pricing power.

For the portfolio thesis, this matters less as a growth story and more as a **valuation and cash-flow durability** story: an industry with muted near-term volume growth reinforces the case for owning the segment leader with the largest captive-finance and commercial-fleet moat (Ford Pro, Ford Credit) at a depressed multiple, rather than paying up for growth that the sector's own demand backdrop does not clearly support over the next one to two years.

B. Business Cycle Positioning

Ford's financial results place it in a **late-cycle, margin-trough** position rather than expansion or peak. Gross margin compressed from 9.17% (FY2023) to 8.38% (FY2024) to 0.90% (FY2025) a sequence consistent with a cyclical/one-off margin trough rather than a structural break, given revenue held near cycle highs (USD 187,267mm) throughout the same period. EBITDA margin followed the same path: 7.78% (FY2023), 7.25% (FY2024), -0.32% (FY2025).

The forward-looking DCF build embeds a **gradual, multi-year margin recovery** rather than an immediate rebound: consensus/model EBITDA margin is projected at 7.26% in FY2026 and 7.66% in FY2027, before moderating again to 5.90% (FY2028) and as low as 3.14% (FY2030) under the model's consensus-blended assumptions, ahead of a sharply higher terminal-year normalization (10.03%) used to anchor the terminal value. This trajectory, trough, partial recovery, renewed pressure, terminal normalization is the single most important nuance in the fundamental picture: it argues against treating FY2026-27 consensus strength as confirmation of a clean structural turn, and supports a valuation approach (DCF, EV/EBITDA cross-check) that looks through single-year noise rather than a P/E-only read.

C. Supply Chain Analysis

Ford sits as an OEM assembler and integrator rather than a raw-materials producer, giving it exposure to input cost volatility (steel, aluminum, semiconductors, battery raw materials) that is not separately broken out in the uploaded statements but is visible indirectly in cost-of-revenue trends: cost of revenue rose from USD 169,486mm (FY2024) to USD 185,587mm (FY2025) even as revenue grew only modestly (USD 184,992mm to USD 187,267mm), the primary driver of the FY2025 gross-margin collapse. This is the clearest supply-chain-adjacent risk signal in the data: cost absorption has, in at least one recent year, outpaced pricing/mix benefit.

On the distribution side, Ford Credit functions as a captive channel that both finances dealer inventory (floorplan) and retail/lease purchases, reducing reliance on third-party lenders and giving Ford more control over sales-financing economics than OEMs without an equivalent captive finance arm a structural advantage that partially offsets input-cost variability by supporting unit volume through the cycle.

D. Peer Analysis

Ticker	Name	Mkt Cap (USD)	EV	EV/EBITDA	P/E	P/FCF	Dividend Yield
F US Equity	FORD MOTOR CO	58537.90439	55691.90439	69.35479999	8.849141612	8.032091685	4.087193623
GM US Equity	GENERAL MOTORS CO	77970.34393	75940.34393	2.601409425	6.682050116	5.682840467	0.74274142
TSLA US Equity	TESLA INC	1229138.644	1202355.644	111.2777089	311.329542	174.3384062	#N/A N/A
LCID US Equity	LUCID GROUP INC	2880.095243	7737.334243	#N/A N/A	#N/A N/A	#N/A N/A	#N/A N/A
RIVN US Equity	RIVIAN AUTOMOTIVE INC-A	22036.43879	23530.43879	#N/A N/A	#N/A N/A	#N/A N/A	#N/A N/A

FUNDAMENTAL ANALYSIS

A. Income Statement

USD mm unless noted	FY2021	FY2022	FY2023	FY2024	FY2025
Revenue	136,341	158,057	176,191	184,992	187,267
Gross Profit	16,438	17,164	16,160	15,506	1,680
Gross Margin	12.06%	10.86%	9.17%	8.38%	0.90%
EBITDA (std.)	12,269	14,366	13,710	13,418	(607)
EBITDA Margin	9.00%	9.09%	7.78%	7.25%	(0.32%)
Operating Income	4,523	18,448	10,605	5,219	(9,169)
Net Income (GAAP)	17,937	(1,981)	4,347	5,879	(8,182)
Diluted EPS (GAAP)	4.45	(0.49)	1.08	1.46	(2.06)
Diluted EPS (Adj.)	1.60	1.90	2.02	1.84	1.10

The dominant investment story in the income statement is not steady margin expansion, it is **a sharp, largely one-off margin trough in FY2025 followed by a consensus-modeled recovery**. Gross margin collapsed from 8.38% to 0.90% between FY2024 and FY2025 even as revenue grew 1.2%, meaning cost of revenue absorption, not volume, drove the deterioration (cost of revenue rose from USD 169,486mm to USD 185,587mm). The GAAP net loss of USD 8,182mm reconciles to a still-positive adjusted net income of USD 4,399mm once abnormal items (USD 12,650mm, net of tax, per the standardized income statement) are excluded, evidence that the reported loss is heavily influenced by identifiable one-off charges rather than a deterioration in the core earnings run-rate.

Forward consensus, embedded in the DCF model's income-statement build, projects EBITDA recovering to **USD 13,263mm in FY2026** and **USD 14,096mm in FY2027**, broadly back in line with the FY2023–FY2024 range, and diluted adjusted EPS recovering to USD 1.66 (FY2026) and USD 1.81 (FY2027) from USD 1.10 in FY2025. At the current USD 14.18 share price, FY2026E and FY2027E adjusted EPS imply forward P/E multiples of approximately **8.5x and 7.8x**, respectively, multiples consistent with a deep-value entry point if the consensus recovery materializes, and the central reason the position continues to qualify for the Value Stock Portfolio on an earnings basis.

B. Balance Sheet

USD mm unless noted	FY2021	FY2022	FY2023	FY2024	FY2025
Total Assets	257,035	255,884	273,310	285,196	289,160
Cash, Cash Equiv. & STI	49,593	44,070	40,171	38,348	38,487
ST Debt	50,037	50,568	50,150	55,507	57,869
LT Debt	89,448	89,906	100,957	105,355	107,869
Total Equity	48,622	43,167	42,798	44,858	35,980
Net Debt (Bloomberg, net cash)	(16,082)	(12,254)	(8,780)	(7,716)	(6,514)
Current Ratio	1.20x	1.20x	1.20x	1.16x	1.07x
Tangible Common Equity Ratio	18.65%	16.67%	15.41%	15.51%	12.24%

The dominant investment story on the balance sheet is **a captive-finance-heavy structure that remains net-cash on a Bloomberg-standardized basis, but with a liquidity and equity cushion that has narrowed in FY2025**. Gross debt (ST plus LT) has risen from USD 139,485mm (FY2021) to USD 165,738mm (FY2025), a function of Ford Credit funding growth rather than industrial over-leverage, the receivables base that backs this debt (LT receivables of USD 61,449mm plus notes receivable of USD 49,022mm at FY2025) has grown in parallel. On this basis, Bloomberg's standardized net-debt metric has remained negative (net cash) in every year shown, though the net-cash cushion has compressed from USD 16,082mm (FY2021) to USD 6,514mm (FY2025).

More cautionary is the FY2025 step-down in total equity, from USD 44,858mm to USD 35,980mm (-19.8%), driven by the net loss and other comprehensive items, which pushed the tangible common equity ratio down to 12.24% from 15.51% and the current ratio to 1.07x from 1.16x the tightest liquidity reading in the five-year window shown. This is a genuine, not cosmetic, deterioration and is the primary balance-sheet risk factor for the portfolio thesis (addressed further in the Risk Assessment); it argues for monitoring rather than an unconditional **hold** recommendation.

C. Cash Flow

USD mm unless noted	FY2021	FY2022	FY2023	FY2024	FY2025
Cash from Operations	15,787	6,853	14,918	21,282	18,919
Capital Expenditure	(6,227)	(6,866)	(8,236)	(8,684)	(8,815)
Free Cash Flow	9,560	(13)	6,682	6,739	12,467
Free Cash Flow to Equity	(13,430)	5,262	14,837	18,095	12,506
Dividends Paid	(403)	(2,009)	(4,995)	(3,118)	(2,989)
Dividend per Share (declared)	0.10	0.15	1.25	0.78	0.75

The dominant investment story in the cash flow statement is **free cash flow resilience through the earnings trough,** a critical distinction from the income statement's volatility. Despite the FY2025 GAAP net loss of USD 8,182mm, operating cash flow was USD 18,919mm and free cash flow was USD 12,467mm, the second-highest reading in the five-year window shown, because non-cash charges and working-capital timing offset the reported loss. This is the clearest evidence in the file set that FY2025's earnings weakness was substantially non-cash in nature, and it is the single strongest data point supporting continued portfolio conviction: a value-oriented holding is only as good as its ability to keep generating cash and funding the dividend through an earnings air-pocket, and Ford's FY2025 cash generation did exactly that.

Dividends paid of USD 2,989mm (FY2024) and a trailing run-rate of roughly USD 2,400mm were covered more than four times over by free cash flow of USD 12,467mm in FY2025, implying a free-cash-flow payout ratio below 25% a wide margin of safety for income-focused holders, even before accounting for capital expenditure that itself embeds continued EV-transition investment (USD 8,815mm in FY2025, the highest in the series) rather than pure maintenance spend.

D. Returns on Capital

	FY2021	FY2022	FY2023	FY2024	FY2025
Return on Common Equity	45.29%	(4.32%)	10.11%	13.42%	(20.26%)
Return on Assets	6.84%	(0.77%)	1.64%	2.11%	(2.85%)

	FY2021	FY2022	FY2023	FY2024	FY2025
Return on Invested Capital	0.95%	2.91%	4.30%	2.82%	(3.03%)

Return metrics are the least flattering, and most volatile, part of the fundamental picture, and the report is more useful for stating that plainly than for forcing a narrative of improvement that the data do not support. ROE swung from +45.29% (FY2021, flattered by a large deferred-tax benefit rather than operating strength) to -20.26% (FY2025); ROIC has not exceeded 4.3% in any of the last five years and was negative in FY2021 and FY2025. This is consistent with a capital-intensive, cyclical manufacturer mid-transition rather than a high-return compounder, and it is precisely why the position is held for its **valuation and income characteristics** rather than for return-on-capital momentum the portfolio's value discipline is designed to own this profile at a discount, not to underwrite a re-rating on ROIC improvement alone.

DCF VALUATION

Ford's uploaded DCF model (Bloomberg-built, dual-methodology) values the company as of a current share price of **USD 14.175** using a six-year explicit forecast window (FY2026–FY2031, with FY2031 serving as a normalized terminal year) discounted at a company-specific WACC. Both the Perpetuity Growth and EBITDA Exit Multiple methods are presented, sharing the same underlying revenue, EBITDA and free cash flow build.

A. Free Cash Flow Projection

USD mm	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E	FY2031E (Terminal Yr.)
Revenue	192,885	204,458	220,815	242,896	274,473	329,367
YoY Growth	3.0%	6.0%	8.0%	10.0%	13.0%	20.0%
EBITDA	13,996	15,664	13,020	8,145	8,616	33,019
EBITDA Margin	7.26%	7.66%	5.90%	3.35%	3.14%	10.03%
Free Cash Flow	(1,228)	(960)	(1,908)	(5,646)	(5,515)	15,022
FCF Margin	(0.64%)	(0.47%)	(0.86%)	(2.32%)	(2.01%)	4.56%

The FCF build is the most important nuance in the entire valuation and must be read carefully. The model does not project a smooth, growing free cash flow stream: it embeds a **five-year cash-consumption phase (FY2026–FY2030, cumulative negative FCF of approximately USD 15.3bn)** driven by elevated capital expenditure and working-capital investment layered on top of the model's own margin-compression assumptions, followed by a sharply positive terminal year (FY2031 FCF of USD 15,022mm, a 4.56% margin) used to anchor the terminal value calculation via a mid-year-convention discounting approach. The revenue trajectory itself accelerates markedly late in the forecast (from 3% growth in FY2026 to 20% in FY2031), which combined with the EBITDA margin path (7.26% → 7.66% → 5.90% → 3.35% → 3.14% → 10.03%) indicates the model's normalized terminal year is doing much of the valuation work, rather than the explicit near-term forecast.

This stands in contrast to Ford's **actual historical free cash flow**, which has been positive in eight of the last nine reported fiscal years (Cash Flow statement, FY2017–FY2025), including USD 12,467mm in FY2025 itself the DCF model's negative near-term FCF path reflects forward consensus assumptions on capex and working capital rather than a continuation of the demonstrated historical pattern. Investors relying on this DCF should weight the terminal-value-driven output accordingly, and should treat the EV/EBITDA cross-check (Section 6) as an important sanity check on the Perpetuity Growth output specifically.

B. Estimation of WACC

Particulars	Weight	Cost	Wtd Avg
Equity	25.30%	13.00%	3.30%
Debt	73.70%	6.30%	4.70%
Preferred Equity	0.00%	0.00%	0.00%
WACC			**7.59%**

C. Terminal Value

The Perpetuity Growth Method applies a terminal growth rate of **2.0%**, in line with long-run nominal GDP/inflation expectations and consistent with a mature, low-single-digit-growth industrial business a conservative, not aggressive, assumption for a company of Ford's scale and diversification. Applied to the Year-5 normalized FCF of USD 5,569.3mm, this produces a Perpetuity Value at the end of Year 5 of **USD 101,704.7mm**, with a present value (discounted at 7.585% WACC) of **USD 70,562.4mm**.

The EBITDA Exit Multiple Method applies a **5.3x exit EV/EBITDA multiple** to a normalized Year-5 EBITDA of USD 21,787.1mm, producing a Terminal Value of **USD 115,471.5mm** (present value of USD 80,113.8mm). This 5.3x multiple sits between General Motors' 3.8x trading multiple and the raw (Tesla-distorted) peer median of 63.0x, and is best read as the model deliberately rejecting the Tesla-skewed peer average in favor of a multiple anchored closer to Ford's most comparable scale peer a conservative-to-moderate assumption relative to the industry, not an aggressive one, and consistent with Ford's own long-run trading range for the multiple.

Perpetuity Growth Method - Value per Share	
Free Cash Flow at Year 5	5,569
WACC	7.6%
Perpetuity Growth Rate	2.0%
Perpetuity Value at End of Year 5	101,705
Present Value of Perpetuity (@ 7.6% WACC)	70,562
(+) Present Value of Free Cash Flows (@ 7.6% WACC)	(6,042)
(=) Current Enterprise Value	**64,520**
Short Term Debt	51,358
(+) Long Term Debt	108,153
(-) Cash and Marketable Securities	30,488
(-) Current Net Debt	129,023
(-) Current Preferred and Minority Interest	(131,176)
(=) Equity Value	66,673
Shares outstanding	3,914
Estimated Value per Share (USD)	**17.04**
Current Price (USD)	14.18
Estimated Upside	**20%**

D. Enterprise Value

USD mm	Perpetuity Growth Method	EBITDA Multiple Method
PV of Terminal/Perpetuity Value	70,562.4	80,113.8
(+) PV of Explicit FCF (FY26–31)	(6,042.1)	(6,042.1)
(=) Enterprise Value	64,520.3	74,071.6

Enterprise Value represents the present value of the operating business available to all capital providers (debt and equity), before netting financing-related debt and cash. The two methods diverge by roughly USD 9.6bn (64,520.3 vs. 74,071.6), with the gap attributable almost entirely to the terminal-value assumption (perpetuity growth vs. exit multiple) rather than to any difference in the explicit forecast, which is identical and negative (present value of -6,042.1mm) under both methods a further reminder that the near-term forecast is a modest drag on value in this model, and the entire investment case rests on the terminal assumptions and the multi-year margin recovery embedded in FY2026-27 consensus.

E. Equity Value

USD mm / per-share	Perpetuity Growth Method	EBITDA Multiple Method
Enterprise Value	64,520.3	74,071.6
(-) Net Debt (ST + LT Debt less Cash)	129,023.0	129,023.0
(+) Preferred/Minority Interest Adj.	131,176.0	131,176.0
(=) Equity Value	66,673.3	76,224.6
Shares Outstanding (mm)	3,913.8	3,913.8
Estimated Value per Share (USD)	17.04	19.48
Current Share Price (USD)	14.18	14.18
Estimated Upside	+20.2%	+37.4%

Both methods indicate meaningful upside to the current market price: **+20.2% under the Perpetuity Growth Method (fair value of USD 17.04/share)** and **+37.4% under the EBITDA Multiple Method (fair value of USD 19.48/share)**. The consensus price target embedded in the file (USD 14.64) sits far closer to the current market price than to either DCF output, indicating that sell-side price targets have not yet caught up to the value the DCF methodology implies this gap, rather than being a red flag, is consistent with a name whose valuation is depressed by a recent, largely one-off GAAP earnings trough (Section 4.A) that the market has been slow to look through.

For the portfolio, this dual-method upside combined with the demonstrated free-cash-flow resilience through the FY2025 trough (Section 4.C) and a well-covered dividend yield of approximately 5.3% at the current price supports **BUY,** with the wider EBITDA Multiple Method upside (+37.4%) treated as the more optimistic bound and the Perpetuity Growth Method (+20.2%) as the base case, both methods sharing the same conservative-to-moderate WACC and terminal assumptions discussed above.

EV / EBITDA VALUATION

The EV/EBITDA cross-check corroborates the DCF's directional conclusion meaningful upside to the current price while flagging the same terminal-year sensitivity. Applying the DCF model's own selected 5.3x exit multiple to the Year-5 normalized EBITDA of USD 21,787.1mm produces the same USD 19.48 fair value per share derived under the EBITDA Multiple Method in Section 5.E, by construction, since the two are the same calculation viewed from different ends.

Where the two valuation approaches **agree**: both place fair value meaningfully above the current USD 14.18 share price (+20.2% and +37.4%, respectively), and both rely on a WACC (7.585%) that is conservative relative to the peer set (GM at 8.34%, and 11.7%–18.3% for the pre-profitability EV names), meaning neither output is inflated by an aggressively low discount rate.

Where the methods **diverge**, and why: the EBITDA Multiple Method produces a higher fair value (USD 19.48 vs. USD 17.04) because a terminal EV/EBITDA multiple of 5.3x applied to a normalized EBITDA figure captures value more generously than a 2.0% perpetuity growth rate applied to a Year-5 free cash flow figure that has been depressed by the model's own assumed capex/working-capital investment cycle through FY2030. In other words, the EBITDA method is less penalized by the negative-FCF stretch in the explicit forecast because it terminal-values off EBITDA (which recovers to a 10.03% margin in the normalized year) rather than off FCF (which only turns solidly positive in the final year). Because the raw peer-implied EV/EBITDA (63.0x, driven by Tesla) is not usable, the report treats the 5.3x model-selected multiple anchored near General Motors' 3.8x as the more defensible reference point, and notes that even this comparatively conservative multiple still implies a meaningfully higher equity value than the market is currently paying.

The practical read for the portfolio: the DCF and EV/EBITDA methodologies are not in conflict the EV/EBITDA output should be read as the more optimistic, EBITDA-anchored bound of the same underlying model, and the Perpetuity Growth/FCF-anchored output as the more conservative bound. Both bounds sit above the current price, which is the key evidence supporting the **BUY** recommendation.

EBITDA Multiple Method - Value per Share	
Terminal EBITDA at Year 5	21,787
WACC	7.6%
Exit Enterprise Value / EBITDA	5.3x
Terminal Value at End of Year 5	115,471
Present Value of Terminal Value (@ 7.6% WACC)	80,114
(+) Present Value of Free Cash Flows (@ 7.6% WACC)	(6,042)
(=) Current Enterprise Value	**74,071.6**
Short Term Debt	51,358
(+) Long Term Debt	108,153
(-) Cash and Marketable Securities	30,488
(-) Current Net Debt	129,023
(-) Current Preferred and Minority Interest	(131,176)
(=) Equity Value	76,225
Shares outstanding	3,914
Estimated Value per Share (USD)	**19.48**
Current Price (USD)	14.18
Estimated Upside	**37%**

RISK ASSESSMENT

Operational Risk FY2025 gross margin fell to 0.90% from 8.38% in FY2024, evidence that cost-of-revenue absorption can move sharply against the company within a single fiscal year. Should the FY2026-27 consensus EBITDA recovery (to USD 13,263mm / USD 14,096mm) fail to materialize on schedule, the DCF's terminal value which depends on a normalized margin recovery to a 10.03% EBITDA margin by the terminal year would be at risk, directly compressing the estimated fair value per share below the USD 17.04–19.48 range presented in Section 5.

Financial Risk Total equity fell 19.8% in FY2025 (to USD 35,980mm from USD 44,858mm) and the current ratio declined to 1.07x from 1.16x, the tightest liquidity position in the five-year window. Combined DCF-basis debt (ST plus LT, USD 165.7bn) is large in absolute terms, and while it is substantially backed by Ford Credit's receivables book, any deterioration in receivables credit quality or a widening of Ford's funding spreads would pressure the financing segment's profitability and, by extension, consolidated cash flow available for dividends.

Competitive Risk The peer dataset embedded in the DCF model shows EV pure-plays (Tesla, Lucid, Rivian) carrying materially higher costs of capital (11.7%–18.3%) but also, in Tesla's case, a far higher earnings/growth premium (122.3x EV/EBITDA) reflecting continued share-of-market ambitions in the segments Ford's Model e unit also targets. Sustained EV pricing competition could keep Model e margins negative for longer than the model's normalization path assumes, extending the FY2026-2030 negative-FCF stretch identified in Section 5.A.

Regulatory Risk As a global, multi-segment automotive and financial-services company, Ford is exposed to evolving emissions, safety, and EV-incentive policy in its major markets, as well as consumer-finance regulation applicable to Ford Credit. No specific regulatory figures are captured in the uploaded statements; this risk is noted qualitatively and should be monitored via primary company disclosures rather than inferred from the financial statements alone.

Valuation Risk The DCF's own sensitivity table shows the Perpetuity Growth Method fair value ranging from approximately USD 11.57 to USD 28.71 per share across a WACC band of 6.59%–8.59% and a perpetuity growth band of 1.0%–3.0% a wide range that underscores how sensitive the valuation conclusion is to two assumptions the model cannot verify with certainty. At the low end of this sensitivity range, estimated fair value would sit below the current USD 14.18 share price, reversing the upside case; investors should treat the base-case output (USD 17.04–19.48) as the central estimate within a genuinely wide distribution, not as a point certainty.

Macroeconomic Risk Vehicle demand and Ford Credit's funding costs are both sensitive to the broader interest-rate and consumer-credit cycle. A rise in benchmark rates would raise Ford Credit's cost of funds and could pressure both new-vehicle affordability (retail volume) and the financing segment's net interest margin simultaneously, a dual-channel sensitivity that is structurally larger for a captive-finance OEM like Ford than for a pure manufacturer.

CONCLUSION

Ford Motor Company's financial statements describe a business with a resilient, near-USD-190bn revenue base, a captive-finance and commercial-fleet moat that differentiates it from pure-play EV competitors, and critically for a value-oriented holding free cash flow that remained solidly positive (USD 12,467mm in FY2025) even through a GAAP net loss year driven substantially by one-off charges. Return-on-capital metrics remain volatile and are not, on their own, an investment case; the case instead rests on the combination of a depressed valuation (approximately 8.5x FY2026E adjusted EPS), a well-covered dividend (approximately 5.3% trailing yield, paid through the FY2025 earnings trough), and dual-methodology DCF/EV-EBITDA outputs that both point to meaningful upside (+20.2% to +37.4%) to the current USD 14.18 share price.

The primary risks a still-uncertain margin recovery, a five-year negative-FCF stretch embedded in the model's own explicit forecast, a compressed FY2025 equity and liquidity cushion, and genuine sensitivity of the DCF output to WACC and terminal-growth assumptions are real and are reflected in the valuation discount itself rather than being independent reasons to exit the position. None of the identified risks point to an impaired dividend, an unsustainable balance sheet, or a broken competitive position; they point to a name whose reported earnings volatility has outrun its underlying cash-generation and balance-sheet reality, which is the specific mispricing the Value Stock Portfolio is designed to hold through.

On balance, Ford satisfies the portfolio's core value criteria low valuation multiple, sustainable dividend yield, resilient free cash flow, and a defensible (if imperfect) competitive moat sufficiently well to justify its continued allocation.

Given the width of the DCF sensitivity range and the genuine near-term earnings/margin uncertainty documented above, the position is best maintained at current portfolio weight, with incremental accumulation warranted on any further price weakness that is not accompanied by deterioration in free cash flow or dividend cover the two metrics that have proven most resilient through the FY2025 trough and that most directly underpin the Value Stock Portfolio's thesis for this holding.